

Information Leakage from Short Sellers

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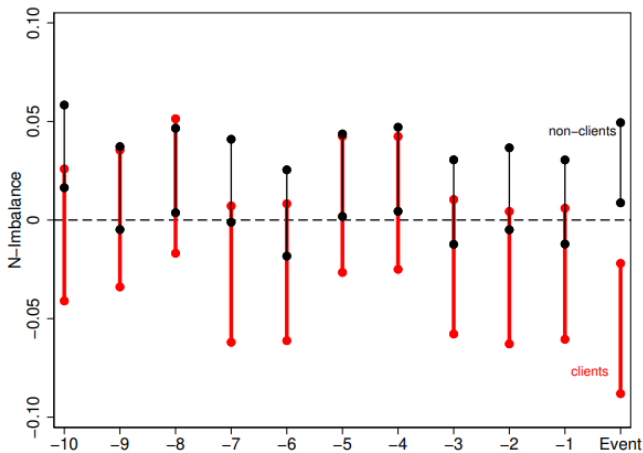
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The paper in one slide.

- ➊ Brokers leak information from *informed* short sellers.
- ➋ The leaks appear to be intentional, not accidental leaks.
- ➌ Clients from leaky brokers seem to like this.
- ➍ Leakage makes the market more efficient.

Well-written, very readable, clear evidence, highly recommended!

The paper in one picture.



(b) $NImbalance$

Major Point 1

The authors have made **A LOT** of methodological and empirical choices here.

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We say that a broker perceives an investor as an informed short seller if the investor has a good track record in borrowing securities that underperform the market after the borrowing date. The broker observes the borrowing activity across all clients and can screen skilled from unskilled short sellers. Formally, we classify an investor as an informed short seller at a given moment in time from the perspective of a broker if she meets two conditions: (i) the investor borrowed securities at least 10 times in the previous 90 days from that broker with an average borrowed volume of at least R\$100,000 which is about US\$30,000 using the average exchange rate at the time, and (ii) in the same previous 90 days, the probability of a stock borrowed by the investor subsequently underperforming the market in the 20 trading days after the borrowing date (the average duration of the loan deals) is statistically greater than 50% at the 10% confidence. Requirement (i) guarantees that we focus on borrowers who are professional and active short sellers with significant skin in the

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The authors do some robustness by looking at three changes from this definition of *informed client*, but more should be done to justify the empirical choices and to show robustness to a variety of alternative definitions.

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We contribute to this literature by providing the first evidence of information leakage through the security lending market.

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We contribute to this literature by providing the first evidence of information leakage through the security lending market.

Finally, we investigate brokers' gains from leaking information. We evaluate the loyalty dynamics of clients after receiving information, and we find that clients who likely received and benefited from the information leakage become more loyal to the broker. These clients sold the stock involved in the event even though they had not traded that security before the event. After an informed short-selling event, these clients bring more business to the broker by engaging in more security borrowing and lending with that broker.

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Adjusted Focus: How should we think about leaking in equilibrium? Is there an optimal amount of leaking? Strategic leaking? Do the short sellers like or dislike the leaks?

Two Less Major Points

I've dispensed with these in the slides and put them in my email to Bruno.

Recap in one slide.

Very nice paper. Clear findings. Taught me something.

TONS of potential!

Main Suggestions:

- Make sure to justify the empirical choices and provide substantial robustness.
- Consider a re-focus on the costs and benefits and outcomes for leaky brokers.

Overall a nice paper to read! I look forward to see what's next for this and Bruno's other work!